

Matching Function and Matching Market

Pascal Michailat
<https://pascalmichailat.org/w/>

Matching function . . . Aggregate function (or production function)

- Simple, well behaved, depends on a few aggregate variables
- Summarize a complex trade process that occurs on most markets
- Complement of trade requires sellers/buyers to exert effort to trade.
 - firms spend time/money on recruiting
 - workers spend time/effort searching for job (LinkedIn)
 - consumers do market research (Yelp, Google, WineCutter, TripAdvisor)
 - firms spend money on marketing, advertising
- With matching function: bilateral monopoly
 - can assume a price norm
 - can be much more realistic